

Kickstarter Requirements

1. Eligible Creator

The project can be launched either:

- By an individual; or
- By a Canadian corporation

For a corporation:

- The company must be legally incorporated in Canada.
- The person creating the campaign must be an owner or executive authorized to act for the company.
- Kickstarter/Stripe may require verification of directors and beneficial owners (typically anyone owning 25% or more, depending on the verification requirements).

2. Identity Verification (KYC)

Kickstarter uses Stripe for payment processing, which means Know Your Customer (KYC) verification is mandatory.

Be prepared to provide:

- Government-issued photo ID
- Date of birth
- Residential address
- Phone number
- Email address

For a corporation, Stripe may also request:

- Articles of Incorporation
- Corporation name
- Registered office address
- Names of directors
- Beneficial ownership information

- Corporate tax identification number (Business Number)

3. Banking Requirements

The company should have:

Canadian Business Bank Account

The account must:

- be located in Canada
- be in the legal name of the corporation
- support Canadian direct deposits
- be a chequing/current account (not a savings account or virtual account)

This is where Kickstarter proceeds will be deposited if the campaign is successfully funded.

Credit Card

Kickstarter also requires a valid credit card associated with the creator. For Canadian creators, a credit card is required during setup.

4. CRA Tax Information

Kickstarter does not treat campaign proceeds as tax-free gifts simply because they come from supporters.

Depending on how the campaign is structured, funds may constitute:

- Business revenue
- Deferred revenue (until rewards are delivered)
- Taxable income

The company should have ready:

- Business Number (BN)
- Corporate legal name
- CRA information

- GST/HST registration number (if registered)

Even if not required by Kickstarter during onboarding, this information will be important for accounting and tax compliance.

5. GST/HST Considerations

This is one of the biggest issues Canadian companies often overlook.

If rewards are being sold (for example, subscriptions or software access), GST/HST may apply depending on:

- where the backer is located,
- the type of reward,
- and the applicable tax rules.

You'll want your accountant to determine:

- whether GST/HST must be charged,
- how to account for international backers,
- and when tax becomes payable.

6. Corporate Accounting

Before launch, decide:

- Which fiscal year will receive the Kickstarter proceeds?
- How will campaign expenses be tracked?
- How will reward fulfillment costs be recorded?
- How will refunds (if any) be handled?

It is strongly recommended to create a dedicated general ledger for the campaign.

Example accounts:

- Kickstarter Revenue
- Kickstarter Fees
- Stripe Fees
- Advertising

- Reward Fulfillment
- Shipping
- Software Development
- Marketing

7. Campaign Budget

Management should prepare a detailed budget showing how every dollar will be used.

A typical budget might include:

Category	Estimated Allocation
Software Development	35%
Cloud Infrastructure	15%
Security Testing	10%
Marketing	15%
Video Production	5%
Reward Fulfillment	10%
Kickstarter & Payment Fees	8–10%
Contingency	Remaining balance

This budget is valuable for demonstrating transparency to backers.

8. Legal Considerations

Although Kickstarter is reward-based crowdfunding rather than equity financing, you should still review:

- Privacy Policy
- Terms of Service
- End User Licence Agreement (if applicable)
- Intellectual property ownership

- Trademark registrations
- Patent status (if appropriate)
- Reward fulfillment obligations

Backers are purchasing the right to receive promised rewards—not investing in the company—so the campaign must clearly describe what they will receive and when.

9. Required Campaign Assets

Before submitting the campaign for review, have the following ready:

- Company logo
- High-resolution images
- Product screenshots
- Demonstration video
- Founder biographies
- Company story
- Funding goal
- Project timeline
- Reward descriptions
- Risk and challenges section
- Frequently Asked Questions (FAQ)

Kickstarter reviews projects before they go live, and identity verification can take several business days, so this should be built into the schedule.

10. Payment Processing Fees

Kickstarter deducts fees before remitting funds. As part of financial planning, management should budget for:

- Kickstarter platform fee
- Stripe payment processing fees
- Currency conversion costs (if applicable)

- Taxes
- Reward fulfillment costs

The funding goal should be calculated after accounting for these deductions so that the net proceeds are sufficient to complete the project.